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Mr. Brandon M. Frey
Executive Secretary
Louisiana Public Service Commission
Galvez Building, 12th Floor
602 North Fifth Street
Baton Rouge, LA 70802

Re: LPSC Docket No. U-_____, Joint Application of Cleco Power LLC and Pine JV Holdings LLC for: (I) Authorization for the Change of Ownership and Control of Cleco Power LLC and (II) Expedited Treatment.

Dear Mr. Frey:

On behalf of the joint applicants, Cleco Power LLC and Pine JV Holdings LLC, enclosed are one (1) original and three (3) copies of the captioned Application, together with the following items of supporting testimony:

(1) The Direct Testimony of William Fontenot on behalf of Cleco Power LLC, dated June 15, 2026;

(2) The Direct Testimony of Kristin Guillory on behalf of Cleco Power LLC, dated June 15, 2026;

(3) The Direct Testimony of Mark Kleehammer on behalf of Cleco Power LLC, dated June 15, 2026;

(4) The Direct Testimony of Jeff Baudier on behalf of Pine JV Holdings LLC, dated June 16, 2026; and

(5) The Direct Testimony of Rob Kupchak on behalf of Pine JV Holdings LLC, dated June 15, 2026.

Further enclosed, in a sealed envelope marked "Confidential" is Exhibit RK-1 to the Direct Testimony of Rob Kupchak. Exhibit RK-1 contains trade secret, proprietary, and other confidential information, and we request that it be treated as exempt from public disclosure pursuant to Rule 12.1 of the Commission's Rules of Practice and Procedure.

ROUTE TO 15 days ROUTE FROM
DEPT. Bull. DATE 6/16 DEPT. _____
DEPT. _____ DATE _____ DEPT. _____

Because the joint applicants are requesting expedited treatment, we also request that the Commission publish notice of this filing in the Commission's next Official Bulletin and provide for a 15-day period for interventions into this proceeding.

Please return one (1) date-stamped copy of each of the foregoing items to us. If you have any questions, or require any additional information whatsoever, please do not hesitate to contact us, as counsel for Cleco Power, or Mr. Luke Piontek at Roedel Parsons Blache Fontana Piontek & Pisano (below), as counsel for Pine JV Holdings LLC.

Respectfully submitted,

Nathan G. Huntwork
Counsel for Cleco Power LLC

Enclosures
NGH/csb

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BEFORE THE
LOUISIANA PUBLIC SERVICE COMMISSION

JOINT APPLICATION OF PINE JV HOLDINGS, LLC AND CLECO POWER LLC FOR: (I) AUTHORIZATION FOR THE CHANGE OF OWNERSHIP AND CONTROL OF CLECO POWER LLC AND (II) EXPEDITED TREATMENT	))))))	DOCKET NO. _____

Table of Contents

I. INTRODUCTION AND BACKGROUND 1
II. DESCRIPTION OF THE APPLICANTS 6
A. Cleco Power 6
B. Pine JV Holdings 7
1. Stonepeak 8
2. BCP 9
III. THE LPSC: JURISDICTION AND STANDARD OF REVIEW 10
A. LPSC's Jurisdiction 10
B. LPSC's Standard of Review - No Harm 10
IV. STRUCTURE OF THE PROPOSED TRANSACTION 11
V. THE PROPOSED TRANSACTION 11
A. The Transaction preserves the LPSC's oversight and jurisdiction over Cleco Power. 13
B. Pine JV Holdings provides financially sound new ownership with deep experience, longstanding Louisiana presence, and a strong relationship with the LPSC. 14
C. The Transaction will have no adverse impact on Cleco Power's retail rates. 14
D. Pine JV Holdings would maintain Cleco Power's reliability and quality of service. 15
E. Pine JV Holdings would maintain Cleco Power's financial safety, soundness, and liquidity. 16
F. Pine JV Holdings would strengthen Cleco Power's commitment to Louisiana. .. 17
G. Pine JV Holdings would maintain Cleco Power's active involvement in community and regional development. 18
H. The Transaction provides protections for Cleco Power's employees and retirees. 18
VI. THE APPLICANTS' PROPOSED REGULATORY COMMITMENTS 19
A. Enforcement and Compliance (Regulatory Commitments 1-5) 20
B. Organizational and Operational Continuities (Regulatory Commitments 6-15) .. 21
C. Officers and Directors (Regulatory Commitments 16 and 17) 22
D. Economic and Financial (Regulatory Commitments 18-23) 22
E. Ring-Fencing and Inter-Affiliate Accounting and Conduct (Regulatory Commitments 24-45) 23
F. Capital Structure and Distributions (Regulatory Commitments 46-57) 24
G. Changes of Control (Regulatory Commitments 58 and 59) 25
H. Reporting (Regulatory Commitments 60-68) 26
VII. UNDER THE LPSC'S 1994 GENERAL ORDER, THE TRANSACTION SATISFIES BOTH: (1) THE NO HARM STANDARD OF REVIEW AND (2) THE 18 PUBLIC INTEREST FACTORS . 26
A. The No Harm Standard of Review 27
B. The Transaction Satisfies the LPSC's 18-Factor Transaction Test 27
VIII. REQUESTS FOR ACTION 40

EXHIBITS

Direct Testimony on Behalf of Cleco Power LLC

1. Exhibit A – Direct Testimony of William Fontenot
2. Exhibit B – Direct Testimony of Mark Kleehammer
3. Exhibit C – Direct Testimony of Kristin Guillory

Direct Testimony on Behalf of Pine JV Holdings, LLC

1. Exhibit D – Direct Testimony of Rob Kupchak
2. Exhibit E – Direct Testimony of Jeff Baudier

APPLICATION

NOW BEFORE THE LOUISIANA PUBLIC SERVICE COMMISSION (the "**Commission**" or the "**LPSC**"), through undersigned counsel, come Cleco Power LLC (**"Cleco Power"**) and Pine JV Holdings, LLC (**"Pine JV Holdings"**), who respectfully submit this application (**"Joint Application"**) requesting the Commission's authorization for Pine JV Holdings to acquire ownership and control of Cleco Power, via the acquisition of all outstanding ownership interests of Cleco Power's indirect corporate parent, Cleco Group LLC (**"Cleco Group"**), from Cleco Partners L.P. ("**Cleco Partners**") (the **"Transaction"**), in accordance with the LPSC's General Order dated March 18, 1994 (the **"1994 General Order"**). In support of this Joint Application, Cleco Power and Pine JV Holdings (collectively, **"Applicants"**) respectfully submit as follows:

I. INTRODUCTION AND BACKGROUND

The proposed Transaction is an upstream, like-kind change in the ownership of Cleco Power that is designed to leave in place Cleco Power's current quality and reliability of service, retail rate structure, senior management, employees, and connections with Louisiana and Cleco Power's service territory, with comparable financial backing, commitments, and financial risk. As this Commission is aware from the transaction it authorized in Order No. U-33434-A, the current majority owner's fund is approaching the planned end of its investment term, making this the appropriate time for an orderly transition to a long-term owner positioned for Cleco Power's next phase. Recognizing this reality, the Current Owners (as hereinafter defined) of Cleco Power began a careful selection process in late 2024 to identify suitable new owners for Cleco Power and, as a result of that process, identified Pine JV Holdings as the investor best situated to own and manage Cleco Power as an independently-operated company, headquartered in Pineville, Louisiana. Of

critical importance to this decision and to the public interest generally, Pine JV Holdings proposes to step into the regulatory commitments that currently govern Cleco Power and the Current Owners and that have fairly and effectively balanced the interests of Cleco Power's customers, the Commission, and Cleco Power's ownership.

To consummate the Transaction, Pine JV Holdings would acquire 100% of the issued and outstanding limited liability company member interests of Cleco Group through an Equity Purchase Agreement (**"Purchase Agreement"**) and would step into the existing capital structure and indebtedness levels of Cleco Group. As discussed herein and in the direct testimony supporting the Joint Application, the investors in Pine JV Holdings, Stonepeak Partners LP (**"Stonepeak"**) and Bernhard Capital Partners Management, LP (**"BCP"**), each bring with them attributes that will be beneficial to Cleco Power, its customers, and its senior management: an open-ended investment strategy in the case of Stonepeak, and a local perspective in the case of BCP. Further, Pine JV Holdings and its investors are ready, willing, and able to assist Cleco Power's efforts to improve the reliability of and harden its electrical grid, and to provide the capital necessary for Cleco Power to pursue generational economic development opportunities while continuing to focus on providing safe and reliable service at reasonable rates.

Pine JV Holdings understands the importance of protecting Cleco Power and its customers from any adverse effects of a change of control. To that end, Pine JV Holdings has agreed to adopt, commit to, and comply with a nearly verbatim version of the original regulatory commitments imposed by the Commission related to the acquisition of Cleco Power by Cleco Partners, when Cleco Partners acquired Cleco Corporation (which was the corporate holding

company of Cleco Power at the time of the acquisition).[1] The proposed regulatory commitments for the Transaction are attached to the Direct Testimony of Jeff Baudier, as **Exhibit JB-2** (the **"Regulatory Commitments"**). The few original commitments not included in the proposed Regulatory Commitments, or for which edits are proposed, are commitments that have been realized or fulfilled, have become obsolete with the passage of time, or were duplicative, as shown in the redline document included in **Exhibit JB-3** to the testimony of Mr. Baudier. Specific commitments regarding operational synergies and customer credits are no longer relevant due to the nature of the current like-kind transaction compared to the transformational change from a publicly-traded to privately held entity that was approved when the original commitments were made.

As Cleco Power witnesses William Fontenot and Mark Kleehammer testify, the Regulatory Commitments represent detailed rules and restrictions that do not apply to any other investor-owned electric utility (**"IOU"**) or electric cooperative in Louisiana. The original commitments were imposed due in large part to the unprecedented nature of the transfer to Cleco Partners, through which Cleco Corporation, the then-upstream owner of Cleco Power, was transformed from a NYSE publicly-traded corporation to a privately-held limited liability company, Cleco Corporate Holdings LLC (**"Cleco Corporate Holdings"**); the full ramifications of the change in the upstream ownership of Cleco Power could not immediately be known. However, as described in Mr. Fontenot's Direct Testimony, Cleco Power and its customers have benefited greatly from private ownership over the last decade, including through the Current Owners' significant and

[1] As authorized by Commission Order No. U-33434-A, issued April 7, 2016, Cleco Power is currently owned by a consortium of private investors comprised of Macquarie Asset Management, British Columbia Investment Management Corporation and Manulife Investment Management (collectively, the **"Current Owners"**); this consortium comprises Cleco Partners. The current regulatory commitments are attached as Exhibit A to Order No. U-33434-A.

varied expertise and demonstrated financial flexibility, which has ensured Cleco Power's financial soundness and has provided adequate capital for needed investments in Cleco Power's rate base. Although many of the original concerns regarding Cleco Power's private ownership are belied by the careful stewardship of Cleco Power's Current Owners, Pine JV Holdings nevertheless proposes to adopt the original regulatory commitments nearly verbatim, including extending commitments that would have otherwise expired.

The Transaction, governed by the proposed Regulatory Commitments, ensures that Cleco Power's existing organization, employees, retail rates, capital structure, and cost structure would remain substantially unchanged.[2] Importantly, Cleco Power's commitment to maintain its local presence, its headquarters in Pineville, Louisiana, and its contributions to the economic development of Cleco Power's service territory would be ensured for the long-term. Cleco Power would continue to provide safe, reliable, and efficient electric service at reasonable rates. Safety, reliability, and affordability will continue to be paramount to Pine JV Holdings. Cleco Power would remain as a wholly-owned subsidiary of Cleco Corporate Holdings, which, itself, will remain wholly-owned by Cleco Group.

The Transaction would have no effect on the LPSC's jurisdiction over Cleco Power or its rates. The LPSC will retain all regulatory powers over Cleco Power that it has today, and those powers, as enhanced by the proposed Regulatory Commitments discussed below, will be undiminished. There will be no impact on customers either in the manner in which they interact with Cleco Power, in their rates as a result of the Transaction, or as to Cleco Power's financial

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[2] Applicants are cognizant of Cleco Power's forthcoming base rate case to be filed by June 30, 2026, but note that Cleco Power's ratemaking requests in that application would be made regardless of the proposed Transaction and have not in any way been affected by the proposed Transaction; the Commission's acceptance or rejection of the proposed Transaction would in no way alter or affect Cleco Power's rate case requests.

soundness. Indeed, the proposed Regulatory Commitments will solidify for the long-term Cleco Power's local ties to its service territory, provide protections to ensure that Cleco Power remains financially sound, and provide assurances to customers and employees consistent with those existing today. In short, the proposed Transaction solidifies Cleco Power's commitment to Louisiana, protects and preserves Cleco Power's role as a key employer and long-time community partner in Louisiana, and ensures that Cleco Power will continue to provide safe, reliable, and reasonably-priced electric service to its Louisiana customers.

The contents of this Joint Application are derived from and supported by the pre-filed Direct Testimonies of three witnesses on behalf of Cleco Power: William Fontenot, Chief Executive Officer of Cleco Corporate Holdings, Mark Kleehammer, General Counsel and Chief Regulatory Officer of Cleco Corporate Holdings, and Kristin Guillory, Chief Financial Officer of Cleco Corporate Holdings, whose testimonies are attached to and incorporated into this Joint Application as **Exhibit A**, **Exhibit B**, and **Exhibit C**, respectively. Mr. Fontenot's Direct Testimony provides an overview of Cleco Power and the Transaction, itself, and explains how the Transaction serves the public interest. Mr. Kleehammer's Direct Testimony discusses the 1994 General Order, its 18 public interest factors, and the Regulatory Commitments. Ms. Guillory's Direct Testimony addresses certain financial aspects of the Transaction and of the 1994 General Order.

This Joint Application is further supported by the pre-filed Direct Testimonies of two witnesses on behalf of Pine JV Holdings: Rob Kupchak, Senior Managing Director of Stonepeak, and Jeff Baudier, Senior Managing Director of BCP, whose testimonies are attached to and incorporated into this Joint Application as **Exhibit D** and **Exhibit E**, respectively. Mr. Kupchak's Direct Testimony describes the Transaction and gives an overview of Stonepeak, including its

assets under management, areas of investment, investment philosophy, and investment track record. Mr. Baudier's Direct Testimony provides an overview of BCP, including its assets under management, areas of investment, investment philosophy, and investment track record. Mr. Baudier also explains how the Transaction satisfies the 18-factor test of the LPSC's 1994 General Order and discusses the Regulatory Commitments. This Joint Application abbreviates and summarizes the contents of the aforementioned testimony, and reference is made to that testimony for a more detailed discussion of the matters herein.

As further discussed in this Joint Application and in the supporting testimony, the proposed Transaction satisfies both the "no harm" standard of review, as well as the 18-factor test specified under the LPSC's 1994 General Order. First, the proposed Transaction satisfies the "no harm" standard because Cleco Power's constituents *(e.g.,* retail customers; local communities; and Cleco Power's employees and retirees) would not be harmed by the Transaction. Secondly, the proposed Transaction satisfies each of the 18 factors specified in the LPSC's 1994 General Order. Therefore, Applicants seek an order from the Commission finding that the proposed Transaction is in the public interest in accordance with, and satisfies the applicable requirements of, the Commission's 1994 General Order.

II. DESCRIPTION OF THE APPLICANTS

A. Cleco Power

Cleco Power is an electric public utility providing generation, transmission, distribution, and sale of electricity at retail and wholesale in Louisiana and celebrated its 90th year of operating last year. Cleco Power is a wholly-owned subsidiary of Cleco Corporate Holdings. As an electric public utility providing retail electric service within Louisiana, Cleco Power is subject to the jurisdiction of the LPSC.

Cleco Power had approximately $1.3 billion in net operating revenues for the fiscal year ended December 31, 2025. Cleco Corporate Holdings and Cleco Power are managed by a Louisiana-based management team with over 180 collective years of regulated utility experience.

Cleco Power fully owns or has an interest in eight (8) generating units representing a total installed capacity of 2,676 megawatts (**"MW"**), nearly 1,400 miles of transmission lines, and over 12,000 miles of distribution lines. Cleco Power serves approximately 298,000 customers in Louisiana through its retail business and also supplies wholesale power in Louisiana. Cleco Power's executive offices and principal place of business are located at 2030 Donahue Ferry Road, Pineville, Louisiana, 71360.

In addition to Cleco Power, Cleco Corporate Holdings owns, directly or indirectly, the following subsidiaries, upstream ownership and control of which would also be acquired by Pine JV Holdings as a part of the Transaction: Cleco Support Group LLC (**"Cleco Support Group"**); Diversified Lands LLC; and CLE Intrastate Pipeline Company LLC. Cleco Power also has the following subsidiaries: Cleco Katrina/Rita Hurricane Recovery Funding LLC; Cleco Securitization I LLC; Cleco Securitization II LLC; and Diamond Vault Louisiana, LLC, which are all wholly-owned by Cleco Power, and Oxbow Lignite Company, which is 50% owned by Cleco Power.

Cleco Power, along with Cleco Support Group (a subsidiary of Cleco Corporate Holdings), employs approximately 1,200 employees in and around its Louisiana service territory, and there are approximately 400 employees in its corporate headquarters in Pineville, Louisiana.

B. Pine JV Holdings

Pine JV Holdings is a Delaware limited liability company comprised of experienced infrastructure owners, as further described in this Joint Application and its accompanying

testimony. Pine JV Holdings has not conducted any activities to date other than activities incidental to its formation and in connection with the proposed Transaction. Pine JV Holdings is a group of prudent, financially-sound, and experienced infrastructure and utility owners who have a demonstrated, long-term infrastructure investment record. Pine JV Holdings's financial sponsors (collectively the **"Sponsors"**) for the Transaction are Stonepeak and BCP and their respective subsidiaries and affiliates. Post-Transaction, Stonepeak and its affiliates will possess a 75% majority stake in Pine JV Holdings, and BCP and its affiliates will possess a 25% stake in Pine JV Holdings.

As further described herein, the members of Pine JV Holdings, together and separately, have a proven ability to invest in utility companies like Cleco Power and a commitment to support the local management of those companies so that they continue to provide important benefits to the communities that the utilities serve, in terms of service reliability and rates, employment, economic development, and charitable contributions. The owners of Pine JV Holdings consist of two major infrastructure investment organizations with a history of successful and responsible long-term ownership and operation of energy and infrastructure assets in the United States and other countries, as follows:

1. Stonepeak

Stonepeak is a leading global infrastructure investment firm headquartered in New York, NY specializing in infrastructure and real assets. As of December 2025, Stonepeak had assets under management of ~$88 billion and constitutes the largest privately-owned infrastructure and real asset investment manager worldwide.

Stonepeak has significant Louisiana infrastructure investing experience, specifically, Venture Global LNG Calcasieu Pass in Cameron Parish ($1.3 billion capital investment), Pelican

Pipeline (an approximately one hundred and sixty (160) mile, 1.5 bcf/d new-build natural gas pipeline from the Haynesville Basin to the Gillis Hub near the Louisiana Gulf Coast), and Woodside LNG in Calcasieu Parish ($5.7 billion capital investment).

As described in more detail in the Direct Testimony of Mr. Kupchak, Stonepeak's investment in Cleco Power will be made pursuant to Stonepeak's Core Infrastructure Strategy, an open-ended investment strategy launched in 2022. Unlike most private equity vehicles which have a fixed investment cycle that includes a defined capital raise period with a finite amount of capital raised and a fixed investment period, an open-ended investment strategy functions much like an ongoing business concern; that is, it does not have contractual limitations on when it raises money, how much money it raises, or when it makes or sells investments. As a result, open ended strategies like Stonepeak's Core Infrastructure Strategy are able to hold investments indefinitely and continue to invest in those businesses over time. As of March 31, 2026, Stonepeak's Core Infrastructure Strategy had assets under management of approximately $7.4 billion.

2. BCP

BCP is a middle market services and infrastructure focused private equity firm established in 2013 and headquartered in Baton Rouge, Louisiana. BCP was founded by Jim Bernhard and Jeff Jenkins, the same partners that built and managed The Shaw Group, which was founded in 1987. BCP utilizes a differentiated investor-operator model rooted in approximately 38 years of experience building, operating, and investing in critical infrastructure and focused on two complementary strategies: (1) operationally focused middle-market infrastructure services, and (2) value-add infrastructure assets (regulated utilities).

As of April 2026, BCP had $6 billion of assets under management. BCP has significant recent experience investing in a number of portfolio companies headquartered in Louisiana,

including, but not limited to: National Water Infrastructure, LLC (one of Louisiana's largest privately-owned sewer utilities, serving more than 23,000 customers across the state; **"NWI"**), and Delta Utilities (a $1.7 billion natural gas utility, ranked among the top 40 natural gas utilities in the United States and serving 600,000 customers in Louisiana and Mississippi; **"Delta Utilities"**).

Stonepeak and BCP are further described in testimony filed with this Joint Application. Specifically, Stonepeak's and BCP's ownership philosophy, successful track record of ownership of other U.S. utilities, and positive and constructive relationships with their regulators are described in detail in the testimonies of Messrs. Kupchak and Baudier attached hereto as Exhibits D and E, respectively.

III. THE LPSC: JURISDICTION AND STANDARD OF REVIEW

A. LPSC's Jurisdiction

The LPSC has jurisdiction over the Transaction pursuant to Article IV § 21 of the Louisiana Constitution of 1974, which provides, in pertinent part:

> The Commission shall regulate all common carriers and public utilities and have such other regulatory authority as provided by law. It shall adopt and enforce reasonable rules, regulations and procedures necessary for the discharge of its duties, and perform other duties as provided by law.

Pursuant to the LPSC's constitutional authority, the LPSC promulgated the 1994 General Order, which provides that a public utility subject to the jurisdiction of the LPSC must receive the LPSC's authorization prior to a change in ownership or control of the public utility.

B. LPSC's Standard of Review - No Harm

The 1994 General Order states that LPSC review and prior authorization of changes of control of public utilities are necessary in order to ensure "safe, efficient, and reliable services at reasonable rates, and that *ratepayers will not be harmed"* as a result of a change in ownership or

control. (Emphasis added). In furtherance of this standard of review for changes of ownership or control, the 1994 General Order articulates 18 factors that the LPSC will take into account in determining whether to authorize a transfer of ownership and control as not harmful to the public interest. As further described below, the proposed Transaction poses no harm to Cleco Power's customers or other constituents, satisfies each of the LPSC's 18 factors, and is in the public interest.

IV. STRUCTURE OF THE PROPOSED TRANSACTION

Pine JV Holdings's acquisition of Cleco Group's membership interests from Cleco Partners through the Purchase Agreement will be seamless and without any effect on the day-to-day operations of Cleco Power. The specific terms of the Transaction are contained in the Purchase Agreement, which is attached to and made a part of the Direct Testimony of Rob Kupchak as **Exhibit RK-1**, and which is being filed under seal pursuant to Rule 12.1 of the LPSC's Rules of Practice and Procedure. Mr. Kupchak describes the Purchase Agreement in detail in his Direct Testimony, but at a high level Pine JV Holdings would acquire all of the membership interests in Cleco Group at an agreed-upon price from Cleco Partners and would become the new owner of Cleco Group. LPSC authorization of this Joint Application and the Transaction, as well as other regulatory approvals, are conditions precedent to closing the Transaction. At close, Stonepeak and BCP will fund the acquisition of 100% of the membership interests in Cleco Group and will leave existing management, debt and regulatory commitments on capital structure, credit ratings and ring-fencing remaining in place.

V. THE PROPOSED TRANSACTION

Cleco Power and Pine JV Holdings plan for the Transaction to be as seamless a transition as possible for Cleco Power's customers, regulators, and employees, in order to ensure that Cleco Power continues to provide safe, efficient, and reliable electric service at reasonable rates and that

customers are not harmed by the Transaction, as required by the 1994 General Order. As described above, Pine JV Holdings consists of infrastructure owners, whose philosophy is to invest in infrastructure and utility assets for the long-term and to ensure that the utility and other infrastructure companies they own are focused on the communities that they serve.

Pine JV Holdings would not seek to eliminate personnel or operating groups at Cleco Power as a result of the Transaction, nor would it seek to institute any other major operational changes. Rather, since Cleco Power is a well-run utility, Pine JV Holdings would ensure managerial and operational continuity at Cleco Power in order to best serve the public interest. Indeed, Applicants have proposed numerous Regulatory Commitments in connection with this Joint Application, all very similar, if not identical, to the regulatory commitments attached to Order No. U-33434-A, in order to protect the public interest in the following key areas: enforcement and compliance; organizational and operational continuities; officers and directors; economic and financial; ring-fencing, inter-affiliate accounting and conduct; capital structure and distributions; changes of control; and reporting. As set forth in the testimony of Messrs. Kupchak and Baudier, Pine JV Holdings would oversee its investment in Cleco Power using the same policies and practices that the Sponsors of Pine JV Holdings have employed successfully at other infrastructure investments, including, as to BCP, NWI and Delta Utilities. Mr. Baudier's testimony further demonstrates that the Sponsors of Pine JV Holdings have a successful track record of following through on their regulatory commitments. Thus, Cleco Power and Pine JV Holdings are committed to ensuring that the proposed Transaction is consistent with the public interest, as defined in the 1994 General Order. More specifically, the public interest will not be harmed in any of the following respects.

A. The Transaction preserves the LPSC's oversight and jurisdiction over Cleco Power.

As noted above and further explained in the testimony of Messrs. Kleehammer, Kupchak, and Baudier, the Transaction would be a like-kind change in the upstream ownership of Cleco Power. Cleco Power will remain an operating electric public utility subject to the constitutional jurisdiction of the LPSC and will continue to abide by all applicable rules and orders of the LPSC, in the same manner and to the same extent as it is today. Cleco Power will continue to serve its LPSC-jurisdictional customers in the same manner and pursuant to the same LPSC-authorized tariffs, retail rates, terms, and conditions of service as prior to the consummation of the Transaction. Consistent with current practice, any request by Cleco Power to change its retail rates, terms, or conditions of service will be subject to review by the LPSC. Further, the Transaction will not alter or diminish the Federal Energy Regulatory Commission's jurisdiction over Cleco Power's wholesale and transmission rates, terms, and conditions of service.

Cleco Power is also committing to abide by the LPSC's 1994 General Order (as it may be amended from time to time). Specifically, with respect to changes in the direct or indirect ownership of Cleco Power, Cleco Power commits that it shall comply with the 1994 General Order by applying to the LPSC for prior authorization of any sale or transfer of direct or indirect ownership of Cleco Power that would result in a change of control of Cleco Power. Moreover, unlike other upstream utility owners in Louisiana, Pine JV Holdings, although not jurisdictional to the LPSC, has agreed to be subject to specific performance or injunctive relief and has also waived objections based upon jurisdiction and venue in Louisiana state court to effectuate the Commission's enforcement of the Regulatory Commitments. These concessions are material and do not apply to any other upstream utility owners in Louisiana. In short, the Transaction will not harm, and will indeed strengthen, the regulation of, or jurisdiction over, Cleco Power by the LPSC.

B. Pine JV Holdings provides financially sound new ownership with deep experience, longstanding Louisiana presence, and a strong relationship with the LPSC.

As described in detail herein, Pine JV Holdings is comprised of long-term infrastructure owners with a history of successful ownership of infrastructure, including public utilities in Louisiana. As discussed in the testimonies of Messrs. Kupchak and Baudier: (1) Pine JV Holdings consists of long-term infrastructure owners who embrace a "buy and hold" philosophy; (2) Pine JV Holdings's Sponsors have a proven track record of owning successful public utilities; and (3) Pine JV Holdings's Sponsors have strong trust relationships with state utility regulators, including the LPSC. Indeed, Pine JV Holdings's Sponsors' successful long-term infrastructure ownership is evidenced by the success of BCP's operations of NWI and Delta Utilities, and by its Sponsors' relationships with the LPSC and other regulatory entities. With its deep roots in Louisiana and its vast experience in engineering, industrial construction, and public utilities, BCP makes an ideal match for Cleco Power. Stonepeak invests and manages many billions of dollars in infrastructure and is able to raise substantial funds for long-term capital investments and other improvements to Cleco Power's system. Stonepeak and BCP have invested billions of dollars in Louisiana-based projects, and their combined financial strength, experience, and flexibility make them ideal new owners for Cleco Power and its affiliates.

Moreover, the Regulatory Commitments proposed in this Joint Application ensure that Cleco Power continues to be operated in the public interest, and such Regulatory Commitments will be enforceable against Cleco Power.

C. The Transaction will have no adverse impact on Cleco Power's retail rates.

As noted above, the Transaction will have no adverse impact on Cleco Power's retail rates. Pine JV Holdings agrees to buy Cleco Power "as is" and to adopt Cleco Power's retail rates in

place at the time the Transaction is consummated. The Transaction, therefore, will not affect in any way Cleco Power's retail rates, charges, or collections. Further, and as explained in the testimony of Ms. Guillory, while such is not anticipated, Cleco Power is nevertheless committing to holding ratepayers harmless from any increase in the cost of debt to Cleco Power caused by any potential credit downgrades resulting from the Transaction. Indeed, as described in the Direct Testimony of Ms. Guillory, Fitch Ratings on May 29, 2026, has indicated that it views the Transaction as credit neutral to Cleco Power and Cleco Corporate Holdings. The Transaction, therefore, will not have an adverse impact on Cleco Power's residential, commercial, or industrial retail rates.

D. Pine JV Holdings would maintain Cleco Power's reliability and quality of service.

Pine JV Holdings is committed to preserving Cleco Power's quality of service and record of successfully providing safe, efficient, and reliable electric service to its customers in Louisiana, just as it does today. More particularly, should the LPSC approve the Transaction Pine JV Holdings will continue and extend Cleco Power's Service Quality Plan (**"SQP"**) for a period of five (5) years following the close of the Transaction, as well as negotiate a new five (5) year term SQP prior to the expiration thereof.[3] As noted by Mr. Kleehammer, such commitments will confirm that Cleco Power will continue to meet or exceed the LPSC's metrics for service safety, reliability, and quality.

Cleco Power and Pine JV Holdings are also proposing numerous other commitments designed to ensure that Cleco Power's reliability and quality of service is maintained after the Transaction, including continuing current and comprehensive pole replacement and vegetation

[3] Notably, the SQP provisions regarding employee headcount, salaries, benefits, pension plans and designs, and retiree medical plan participants shall be preserved for a ten (10) year term, beginning at the close of the Transaction.

management practices and maintaining operational continuity and employee retention with respect to field personnel, such that Cleco Power's reliability and quality of service would not be adversely changed or diminished by the Transaction.

E. Pine JV Holdings would maintain Cleco Power's financial safety, soundness, and liquidity.

The Regulatory Commitments proposed by Cleco Power and Pine JV Holdings and described in more detail within the testimonies of Mr. Kleehammer and Mr. Baudier provide a variety of mechanisms to ensure that Cleco Power will remain financially sound, post-Transaction. For instance, Cleco Power commits to maintain and seek to improve investment grade credit ratings for its senior unsecured debt from two (2) of Moody's Investors Service, Standard & Poor's Ratings Services, or Fitch Ratings, which will ensure Cleco Power's access to financing necessary to support the needs of the business. In addition, Cleco Power would be required to maintain a ratio of at least 40% common equity to total capitalization and would not be permitted to make any dividend or equity distribution to its parent, unless its ratio of common equity to total capitalization would remain at 48% or higher after giving effect to the distribution. This commitment is separate and apart from Cleco Power's allowed capital structure for ratemaking purposes (52% equity and 48% debt)[4] and establishes an actual minimum level of equity at Cleco Power, to prevent the utility from becoming overleveraged. This commitment is intended to protect Cleco Power's financial soundness by establishing a minimum equity ratio required for the payment of any dividend or equity distribution.

In addition, Applicants propose to continue numerous "ring-fencing" protections as Regulatory Commitments which will mandate that Cleco Power is operated as a separate and

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[4] *See* Order No. U-36923, at 6.

independent entity from its owners and affiliates and that it remains financially sound and insulated from the financial status of its owners. Cleco Power will continue to be required to maintain separate books and records, to issue and maintain its own debt and preferred stock (if any), and to remain subject to the LPSC's rules and standards for affiliate transactions. Further, Cleco Power would not loan or pledge utility assets to Cleco Corporate Holdings, or any of its other subsidiaries or affiliates, without prior LPSC authorization. Finally, the organizational documents of the post-Transaction Cleco Power would not permit Cleco Power, without the unanimous consent of all its directors, including a special independent director (who would not be a member, officer, or employee of Cleco Power or Pine JV Holdings, or any affiliates of such entities), to consent to the institution of bankruptcy proceedings for Cleco Power or the inclusion of Cleco Power in any bankruptcy proceedings.

F. Pine JV Holdings would strengthen Cleco Power's commitment to Louisiana.

Applicants have proposed numerous Regulatory Commitments to strengthen for the long-term Cleco Power's local connections to its service territory in Louisiana as a result of the Transaction. Specifically, Applicants commit that the corporate headquarters would be maintained in Pineville, Louisiana and that Cleco Power would maintain an employee presence in the communities in which it serves sufficient to continue providing safe and reliable electric service; that Cleco Group's Chief Executive Officer and senior management who are responsible for the operations of Cleco Power would have their principal places of residence in Louisiana for a minimum of five (5) years following the close of this Transaction; and that a minimum of four directors of Cleco Group's board would have their principal places of residence in Louisiana, with two of those four being the Chairman and Chief Executive Officer.

Furthermore, and as previously mentioned, Stonepeak has made substantial infrastructure

investments in Louisiana, and BCP is a Louisiana-headquartered company with deep roots in industrial engineering, construction, management, and infrastructure investment. The Transaction would, therefore, provide Cleco Power and its constituents the benefits of a unique combination of deep infrastructure experience and expertise, extensive access to capital on an ongoing basis, and local ownership, perhaps to the highest extent in decades. Thus, the local connections between Cleco Power, its service areas in Louisiana, and its senior executive management would be enhanced significantly by the Transaction.

G. Pine JV Holdings would maintain Cleco Power's active involvement in community and regional development.

Cleco Power and Pine JV Holdings also propose commitments to maintain or increase Cleco Power's and Cleco Corporate Holdings's existing level of corporate contributions and community support in Louisiana. To this end, Cleco Power and Cleco Corporate Holdings would continue to contribute to its charitable foundation to fund and make charitable contributions within Louisiana consistent with Cleco Power's current practices. In addition, Cleco Power and Pine JV Holdings commit to maintain a level of economic development funding consistent with Cleco Power and Cleco Corporate Holdings's current practices as well as make a one-time contribution in a to-be-determined amount to a fund to be administered by the Louisiana Department of Economic Development or some other Commission-approved agency, with the purpose of supporting capital costs of economic development projects located within Cleco Power's service territory.

H. The Transaction provides protections for Cleco Power's employees and retirees.

Cleco Power and Pine JV Holdings also propose to continue the Regulatory Commitments that ensure current employees and retirees are not harmed by the Transaction. Specifically, with

respect to all employees, including those employees covered under the SQP, the Applicants commit that Cleco Power and Cleco Support Group would maintain employee headcount, salaries, and benefits substantially consistent with or higher than current levels in the aggregate across Cleco Power and Cleco Support Group for at least ten (10) years following the Transaction. There would be no adverse material change in Cleco Power's and Cleco Support Group's pension plans or pension design or in current benefits for retiree medical plan participants for at least ten (10) years following the consummation of the Transaction.

VI. THE APPLICANTS' PROPOSED REGULATORY COMMITMENTS

Cleco Power and Pine JV Holdings propose, as a key part of this Joint Application, the continuation of the regulatory commitments from Docket No. U-33434 (modified as described herein) to ensure that the Transaction will be consistent with the public interest as defined in the LPSC's 1994 General Order. Consequently, the proposed Regulatory Commitments are designed to maintain the spirit of the regulatory commitments entered by Cleco Partners in Docket No. U-33434, excluding the provisions of commitment numbers 19, 25, 69, 72, and 74, which are proposed for deletion because they have become obsolete or were specific to Docket No. U-33434. The Regulatory Commitments contemplated by the current Transaction are substantively equivalent to those in Attachment A in LPSC Order No. U-33434-A. Applicants provide a redline showing the slight differences between the Regulatory Commitments and the regulatory commitments attached to Order No. U-33434-A, as **Exhibit JB-3** to the Direct Testimony of Mr. Baudier. Further, a complete set of Pine JV Holdings's proposed Regulatory Commitments is attached as **Exhibit JB-2.**

The proposed Regulatory Commitments and customer protections cover a comprehensive range of subject areas, including retail rate impacts, corporate governance, financial soundness and

stability of Cleco Power, and inter-affiliate issues. There are a total of 73 proposed commitments, which can be divided into the following subject areas: (A) enforcement and compliance; (B) organizational and operational continuities; (C) officers and directors; (D) economic and financial; (E) ring-fencing, inter-affiliate accounting and conduct; (F) capital structure and distributions; (G) changes of control; (H) reporting; and (I) additional commitments. Because the Commission and its Staff are at this point well familiar with the Regulatory Commitments, and the Applicants' minimal proposed changes to the Regulatory Commitments are attached to and described in the direct testimony of Mr. Baudier, the comprehensive set of commitments will not be reproduced and described in the Joint Application; rather they are described generally by subject area as follows:

A. Enforcement and Compliance (Regulatory Commitments 1-5)

Pine JV Holdings seeks to acquire Cleco Power "as is," subject to Cleco Power's existing base rates, formula rate plan, return on equity, capital structure at the time of closing, and all other LPSC orders and rules applicable to Cleco Power. Cleco Power will comply with all applicable Commission orders and rules issued in the future and will not contest the Commission's jurisdiction over its retail rates and provision of service. Neither Cleco Power, Cleco Corporate Holdings nor Cleco Group will advocate for a higher cost of debt or equity capital as compared to what Cleco Power's cost of debt or equity would have been absent the Transaction. Pine JV Holdings acknowledges the Commission's jurisdiction over Cleco Power's retail rates and provision of service and, further, submits to the Commission's jurisdiction over it to the extent such is exercised to enforce obligations imposed by the Regulatory Commitments contemplated by the Transaction. Such Regulatory Commitments affirm that Pine JV Holdings is not requesting the Commission to alter any orders or rules currently affecting Cleco Power.

B. Organizational and Operational Continuities (Regulatory Commitments 6-15)

Cleco Power and Cleco Corporate Holdings will both remain Louisiana entities and both shall have their corporate headquarters remain in Pineville, Louisiana. Pine JV Holdings is committed to maintaining the operational footprint of Cleco Power and continuing the high-quality service it provides to customers across Louisiana. Consequently, Pine JV Holdings commits to maintaining Cleco Power's employees and managers necessary to facilitate the continued delivery of Cleco Power's high-quality service to those in its service area.

With respect to employees, Pine JV Holdings will endeavor to maintain employee numbers, morale, and support throughout the ownership transition process. To that end, the Applicants are proposing Regulatory Commitments that require Cleco Power and Cleco Support Group to maintain employee headcount, salaries, and benefits substantially consistent with or higher than current levels in the aggregate across Cleco Power and Cleco Support Group for at least ten (10) years following closing of the Transaction. Employee headcounts may not drop more than two (2) percent from current levels (including the benchmarks described in the SQP). There will be no adverse material change in Cleco Power's pension plans or pension design or in current benefits for retiree medical plan participants for at least ten (10) years; provided, however, that retiree medical plan benefits may be adjusted as necessary in response to market fluctuations, cost increases, plan experience, or other external factors.

In addition, Pine JV Holdings will continue the charitable legacy of Cleco Group and its subsidiaries and affiliates. To that end, the Regulatory Commitments entered into ensure that Pine JV Holdings will maintain or increase Cleco Group's existing levels of corporate contributions and community support in Louisiana and maintain a level of economic development funding consistent with current practices.

C. Officers and Directors (Regulatory Commitments 16 and 17)

Pine JV Holdings believes that public utilities operate best when run by experienced local management with knowledge of the region and passion for the people and businesses they serve. Accordingly, the proposed Regulatory Commitments would ensure that, for at least five (5) years post-closing, Cleco Group's Chief Executive Officer, Cleco Power's operations senior management, and corporate functions senior management all have their principal place of residence in Louisiana. Further, such commitments require Cleco Group to maintain a minimum of four board directors with their principal place of residence in Louisiana, with one of the four being the Chairman of the board and another the Chief Executive Officer. The vote of at least one Louisiana resident, except the Chief Executive Officer of Cleco Power, will be required for all resolutions of the boards of Cleco Group, Cleco Corporate Holdings or Cleco Power to be effective.

D. Economic and Financial (Regulatory Commitments 18-23)

Cleco Power will not seek recovery of any Transaction-related costs or costs incurred after the Transaction closes that are caused or required by the Transaction, whether internal or external, and which would be in addition to those costs that would be borne by Cleco Power absent the Transaction.

Cleco Power commits to maintain investment grade credit ratings with two (2) of Moody's Investors Service, Standard & Poor's Ratings Services, or Fitch Ratings and, further, will seek to improve such credit ratings over time. Further, Cleco Power commits to hold ratepayers harmless from any increase in the cost of debt to Cleco Power caused by any potential credit downgrades due to the Transaction (which, again, is not anticipated).

E. Ring-Fencing and Inter-Affiliate Accounting and Conduct (Regulatory Commitments 24-45)

The proposed Regulatory Commitments related to ring-fencing and inter-affiliate accounting and conduct are robust and substantively identical to those attached to Order No. U-33434-A. Such commitments insulate Cleco Power and its customers from the financial activities of Cleco Group and its other subsidiaries and affiliates. More specifically, Cleco Power will maintain separate books, records, and documents so as to provide an audit trail to the Commission for all affiliate transactions of Cleco Power, and any affiliate transactions will be adequately documented and performed to comply with the Commission's affiliate rules made applicable to Cleco Power in the Commission's *Red Simpson*[5] order. Cleco Power further agrees to maintain the Commission-approved, generic cost allocation methodologies used to allocate affiliate-related costs to Cleco Power and that there will be no cross-subsidization by Cleco Power's Commission-jurisdictional customers of unregulated activities, or of the activities of any affiliate, parent, or subsidiary entity.

Pine JV Holdings will provide the Commission with access to books, records and documents necessary for oversight of affiliate transactions, provide notice to the Commission regarding corporate structure changes and their effect on its subsidiaries and affiliates, and prevent Cleco Power from loaning or pledging utility assets to Cleco Group and its subsidiaries and affiliates without Commission approval. Cleco Power's jurisdictional rates shall not include any costs arising from any obligations of Pine JV Holdings, Cleco Group, or Cleco Corporate Holdings engaging in any business other than those businesses currently owned or operated by Cleco Power and Cleco Corporate Holdings, without the Commission's prior authorization. In any proceeding

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[5] *Red Simpson, Inc. v. Cleco Corporation*, Order No. U-24064, dated Nov. 20, 2000 (**"Red Simpson"**).

before the Commission involving rates of Cleco Power, the fair rate of return for Cleco Power will be determined without regard to any adverse consequences that are attributable to such listed lines of business, and Cleco Power's customers shall be held harmless for ratemaking purposes from the liabilities of such listed business activities. Pine JV Holdings will file with the Commission an annual compliance report with respect to the ring-fencing and other requirements.

At least one (1) director of Cleco Power will be an independent director who is not a member, officer, or employee of Cleco Power, Pine JV Holdings, or any of their affiliates, and whose affirmative approval must be obtained for Cleco Power to initiate bankruptcy proceedings (**"Special Independent Director"**). The organizational documents of Cleco Power will not permit Cleco Power, without the unanimous consent of all its directors, including the Special Independent Director, to consent to the institution of bankruptcy proceedings or the inclusion of Cleco Power in bankruptcy proceedings.

F. Capital Structure and Distributions (Regulatory Commitments 46-57)

The proposed Regulatory Commitments related to Cleco Power's capital structure and distributions post-Transaction remain functionally identical to those attached to Order No. U-33434-A and ensure that Cleco Power's financial soundness is fully protected from any upstream financial issues. Among other things, the Regulatory Commitments in the Capital Structure and Dividends section: prohibit Cleco Corporate Holdings from incurring additional long-term debt unless strict financial criteria are met; require that Cleco Power maintain two investment grade credit ratings; require that Cleco Corporate Holdings have one investment grade credit rating when the Transaction closes and that Cleco Corporate Holdings make good faith efforts to maintain at least one investment grade credit rating over time; require that Cleco Power maintain two investment grade credit ratings and a minimum equity ratio or its distributions to Cleco Corporate

Holdings will be restricted or eliminated; require that Cleco Corporate Holdings must maintain at least one investment grade credit rating and meet strict financial tests or its distributions to upstream owners will be eliminated; and require that Cleco Power refund money to customers in the event that Cleco Power's equity ratio should fall more than 300 basis points below the equity ratio used for ratemaking purposes.

These strong protective measures mean that in the unlikely event that Cleco Corporate Holdings or Cleco Power begins to experience financial distress because of unfavorable market events or unforeseen emergencies, Cleco Power's financial condition will be self-correcting. That is, the proposed Regulatory Commitments will ensure that if Cleco Power's creditworthiness begins to deteriorate, Cleco Power will utilize internally-generated cashflow for the purposes of stabilizing its financial position.

These proposed Regulatory Commitments demonstrate Pine JV Holdings's commitment to ensuring Cleco Power retains sufficient capital to address its on-going operating needs and maintain its investment grade credit ratings, while providing ratepayer protections against unforeseen declines in its common equity ratio.

G. Changes of Control (Regulatory Commitments 58 and 59)

The proposed Regulatory Commitments related to change of control similarly retain the spirit of those commitments attached to Order No. U-33434-A. Pursuant to such commitments, Pine JV Holdings has committed to ensuring Cleco Power seeks prior authorization from the Commission for any direct or indirect transfers of ownership or control in compliance with the 1994 General Order. Pine JV Holdings has further committed to ensuring that any proposed transferee of such control shall accept and be subject to the ongoing and applicable commitments contemplated by these Regulatory Commitments.

H. Reporting (Regulatory Commitments 60-68)

The Regulatory Commitments concerning Commission-related reporting requirements are substantively identical to those attached to Order No. U-33434-A, excluding the provisions contained in Commitment No. 69[6] in Attachment A to LPSC Order No. U-33434-A. In particular, by each October 31 of each calendar year for the next five (5) calendar years (inclusive of the current calendar year), Cleco Power will file a report with the Commission regarding the implementation of these Regulatory Commitments as of June 30 of that same year. If any commitment is not being met, relative to the specific terms of the commitment, the report will provide proposed corrective measures and target dates for completion of such measures.

Further, Cleco Corporate Holdings and Cleco Power commit to file all SEC financial reports consistent with the obligations of a public debt issuer, including Forms 10-K, 10-Q, and 8-K, and provide copies to the Commission as soon as they are filed and to provide the Commission with audited financial reports within 120 days of the close of Cleco Group's fiscal year. Pine JV Holdings commits to post-closing commitments with respect to Sections 201, 202, 203, 204, 206, 301, 302, 401, 403, 404, 406, 407, and 906 of the Sarbanes-Oxley Act for both Cleco Power and Cleco Corporate Holdings.

VII. Under The LPSC's 1994 General Order, The Transaction Satisfies Both: (1) The No Harm Standard Of Review And (2) The 18 Public Interest Factors

As demonstrated throughout this Joint Application and in supporting testimony, the proposed Transaction satisfies both the no harm standard of review and the 18 public interest factors of the LPSC's 1994 General Order.

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[6] Commitment 69 imposed ongoing reporting obligations on that docket's applicants tied to the consolidated lawsuits entitled *Moore v. Macquarie Infrastructure et. al.*, Nos 251, 417, 251, 451, and 251,515 (Ninth J.D.C., Parish of Rapides).

A. The No Harm Standard of Review

As described above and extensively in the Direct Testimony supporting the Joint Application, the Regulatory Commitments proposed by Cleco Power and Pine JV Holdings ensure that Cleco Power will continue to provide safe, efficient, and reliable electric service at reasonable rates and that Cleco Power's customers will not be harmed as a result of the Transaction. Cleco Power's other Louisiana constituents, the Commission, local communities, and employees and retirees of Cleco Power, also will not be harmed as a result of the Transaction.

More specifically, with respect to the Louisiana economy, Cleco Power's increased community ties and guaranteed charitable and business development contributions, as well as the protections to Cleco Power's employees and retirees under the proposed Regulatory Commitments, ensure that the Louisiana economy will benefit from the Transaction. Further, and as discussed in the Direct Testimony supporting this Joint Application, Cleco Power is entering a period of rapid and intensive capital deployment aimed at modernizing Cleco Power's fleet to serve existing customers and new load, better spread fixed costs, and ensure reliability for decades to come. The depth of financial resources available to Stonepeak and BCP will fortify Cleco Power's ability to meet the capital expenditure challenges that lie ahead, which will, in turn, spur economic development in Louisiana.

B. The Transaction Satisfies the LPSC's 18-Factor Transaction Test

As discussed throughout the Joint Application and in supporting testimony, the proposed Transaction is in the public interest and satisfies each of the 18 factors in the LPSC's 1994 General Order, as follows:

1. Whether the transfer is in the public interest. (Factor No. 1)

As described in detail in the Direct Testimonies of Messrs. Baudier and Kleehammer, the

Transaction is in the public interest because Cleco Power's service will be unaffected, and Transaction will result in a "no harm" change of control. That is, Cleco Power will continue to provide the same high-quality service safely and efficiently to its customers at the same reasonable rates. Further, none of Cleco Group's subsidiaries or affiliates will be harmed by the Transaction. Instead, such entities, including Cleco Power, only stand to benefit from additional capital resources and increased local ownership. Moreover, the Commission will retain jurisdiction and oversight of Cleco Power to the same degree it does presently, and Pine JV Holdings will be subject to the same terms consented to by the Current Owners of Cleco Power in Docket No. U-33434.

Significantly, the Transaction, if approved, will only serve to strengthen Cleco Group's local identity and maintain or improve the quality of Cleco Power's service. BCP, as a locally headquartered entity with a 25% stake in Pine JV Holdings, will serve as an advocate for the people and entities within Cleco Power's service territory. Further, Pine JV Holdings with its significant capital resources and years of collective experience owning and operating infrastructure services and assets of its stakeholders, will facilitate Cleco Power's continuing operational excellence. In many ways, the Transaction represents a continuation of the significant commitments entered into in Docket No. U-33434. In other words, the proven benefits of that prior transaction will persist throughout the new ownership, including those provisions regarding ring-fencing protections, bankruptcy protections, and local contributions.

In sum, the proposed Transaction is a like-kind transfer of ownership without negative consequences for Cleco Power's customer or employees. Pine JV Holdings has committed to ensuring that Cleco Power remains locally managed and operated with its headquarters in Pineville, Louisiana, retaining employee staffing and compensation and benefit levels, and continuing to submit to the jurisdiction of the Commission. Taken together, the Regulatory

Commitments ensure that the Transaction, like that in Docket No. U-33434, is consistent with the public interest under the Commission's 1994 General Order.

2. Whether the purchaser is ready, willing and able to continue providing safe, reliable and adequate service to the utility's ratepayers. (Factor No. 2)

Pine JV Holdings and its Sponsors, Stonepeak and BCP, are experienced infrastructure investors with a history of successfully owning and operating numerous infrastructure projects, including energy and energy transition, transport and logistics, and public utilities throughout the United States. Further, as discussed in this Joint Application and detailed in supporting testimony, Pine JV Holdings and its Sponsors' wealth of collective experience in infrastructure services and asset investments includes significant managerial and regulatory experience. In fact, BCP and Stonepeak have built a strong record demonstrating clear competence with respect to regulatory compliance and the provision of safe and reliable utility service. As to BCP, this track record of providing safe and reliable service is known to the Commission. Additionally, and as thoroughly discussed above, to ensure that Cleco Power continues to provide the same safe, reliable, and high-quality service to its customers, the Applicants are proposing a robust set of Regulatory Commitments mirroring those attached to Order No. U-33434-A, including the continuation and maintenance of the SQP.

In sum, the sophistication of Pine JV Holdings and its Sponsors and the continuation of the prior regulatory commitments related to reliability, including the SQP, clearly demonstrate that Pine JV Holdings would ensure Cleco Power continues providing safe, reliable and adequate service to its customer base.

3. Whether the transfer will maintain or improve the financial condition of the resulting public utility or common carrier. (Factor No. 3)

As described in detail in the Direct Testimony of Kristin Guillory, the structure of the

Transaction, the investment philosophy and access to capital of Pine JV Holdings and its Sponsors, and the proposed Regulatory Commitments ensure that Cleco Power's financial condition will not materially change as a result of the Transaction. Indeed, based on recent guidance from Fitch Ratings, the Transaction is not expected to impact Cleco Power's or Cleco Corporate Holdings's credit ratings in any way.[7] Further, the proposed Regulatory Commitments include requirements that Cleco Power commits to maintain at all times investment grade credit ratings from two (2) national credit rating agencies and that Cleco Power and Cleco Corporate Holdings cannot make distributions unless certain strict financial metrics are achieved. Cleco Power is also committing to hold ratepayers harmless from any increase in the cost of debt to Cleco Power caused by potential credit downgrades resulting from the Transaction (although, as described above, no such downgrades are expected). Further, commitments regarding ring-fencing and financial separation requirements protect Cleco Power's ratepayers, preserve the sound operations of Cleco Power, and improve the long-term financial stability of Cleco Power.

Finally, the scale and scope of Stonepeak and BCP, and Stonepeak's usage of capital from an open-ended investment strategy, further helps ensure ongoing access to additional capital, if and when needed. Thus, Cleco Power's financial condition would at the least be maintained by the proposed Transaction.

4. Whether the proposed transfer will maintain or improve the quality of service to public utility or common carrier ratepayers. (Factor No. 4)

Factor number 4 is substantially similar to factor number 2, above, in that safety and reliability are principal components of the "quality" of service, and those would be maintained post-Transaction. As discussed herein and in supporting testimony, Pine JV Holdings is comprised

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[7] *See* https://www.fitchratings.com/research/corporate-finance/fitch-upgrades-cleco-power-idr-to-bbb-affirms-cleco-holdings-ratings-29-05-2026.

of long-term infrastructure owners with a demonstrated history of successfully investing in and owning and operating regulated utilities in the U.S., including the provision of safe and reliable service to those utilities' customers. Moreover, Cleco Power and Pine JV Holdings have proposed several Regulatory Commitments designed and proven to ensure that Cleco Power would continue to provide the same safe, reliable, and adequate service that it does now, including specifically the SQP.

5. Whether the transfer will provide net benefits to ratepayers in both the short term and the long term and provide a ratemaking method that would ensure, to the fullest extent possible, that ratepayers would receive the forecasted short and long term benefit. (Factor No. 5)

The Transaction is simply a like-kind change in the upstream ownership of Cleco Power and would leave in place Cleco Power's organization, management, employees, retail rates, capital structure, and cost structure. Post-Transaction, Cleco Power would continue to provide the same reliable, safe, and efficient service to its customers as it does today.

The proposed Regulatory Commitments of Cleco Power and Pine JV Holdings provide additional assurance to the LPSC of such organizational, operational, and managerial continuity. These benefits include the commitment to maintain Cleco Power's headquarters in Pineville, Louisiana, and the requirements that Cleco Power's executive management have their principal places of residence in Louisiana, and that at least four board members (with one of the four being the Chairman and one being the Chief Executive Officer) have their principal places of residence in Louisiana.

In addition, the benefits of having an owner that can guide Cleco Power through the upcoming, challenging capital-intensive period with ready access to significant amounts of capital will be immeasurable. The benefits of growth of the system, hardening of the grid, spreading fixed costs across a much broader usage base, and other projects that will directly benefit Cleco Power's

customers, as described by Mr. Fontenot, are more likely to come to fruition if the Transaction is authorized.

6. Whether the transfer will adversely affect competition. (Factor No. 6)

As Mr. Kleehammer explains, the Transaction will not result in the combination of utilities that are competing against each other in any relevant electric market. Accordingly, the Transaction would have no effect on competition. As discussed in the direct testimonies of Mr. Kupchak and Mr. Baudier, the members of Pine JV Holdings possess various investments and ownership interests in infrastructure projects throughout the United States, including regulated utilities in Louisiana. Nevertheless, none of those utilities own electric generation, distribution, or transmission assets in Cleco Power's market area. Accordingly, the Transaction would not adversely affect competition.

7. Whether the transfer will maintain or improve the quality of management of the resulting public utility or common carrier doing business in the State. (Factor No. 7)

The Transaction would have no substantive impact on the management of Cleco Power. As discussed throughout this Joint Application and corresponding Direct Testimonies, Cleco Power and Pine JV Holdings have structured the Transaction in a manner that would largely represent a continuation of the status quo. Primarily, Cleco Power and Pine JV Holdings have proposed Regulatory Commitments aimed at maintaining Cleco Power's current senior executive management as part of the Transaction.[8] Accordingly, the quality of Cleco Power's management would be maintained by the proposed Transaction. Further, as described in Pine JV Holdings's Direct Testimony, Stonepeak would provide other additional support and resources to Cleco Power's management, while BCP would provide an element of experienced Louisiana ownership.

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[8] *See* proposed Regulatory Commitments 10, 16, and 17.

8. Whether the transfer will be fair and reasonable to the affected public utility or common carrier employees. (Factor No. 8)

The Transaction would be fair and reasonable to Cleco Power's employees. Cleco Power and Pine JV Holdings have proposed several Regulatory Commitments designed and proven to ensure that factor number 8 is satisfied, including commitments that would: maintain employee headcount, salaries, and benefits substantially consistent with or higher than current levels for a *decade* post-closing; make no adverse material change in Cleco Power's pension plans or pension design or in current benefits for retiree medical plan participants; and otherwise maintain the SQP and its headcount for field personnel (as defined in the SQP).[9] Consequently, the Transaction and its corresponding Regulatory Commitments ensure that the proposed Transaction would be fair and reasonable to Cleco Power's employees.

9. Whether the transfer would be fair and reasonable to the majority of all affected public utility or common carrier shareholders. (Factor No. 9)

As described in Mr. Kleehammer's Direct Testimony, the proposed Transaction was entered into freely and voluntarily by Cleco Power's Current Owners, and the Current Owners fully support the Commission's authorization of the Transaction, as proposed, without material change or delay.

10. Whether the transfer will be beneficial on an overall basis to State and local economies and to the communities in the area served by the public utility or common carrier. (Factor No. 10)

The Transaction, in combination with the Regulatory Commitments, would be beneficial to the state and local economies and communities within Cleco Power's service territory, as discussed in more detail in the supporting testimonies of Messrs. Baudier and Fontenot. More

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[9] *See* proposed Regulatory Commitments 6-15.

specifically, the Transaction would strengthen Cleco Power's local ties to Louisiana, through BCP's 25% ownership interest in Pine JV Holdings as well as other commitments, which in turn has the potential to facilitate an increase in regional economic development. Additionally, Cleco Power and Pine JV Holdings have proposed Regulatory Commitments that would ensure Cleco Power maintains its existing level of corporate contributions and community support in Louisiana and provide certain post-Transaction protections to current employees.[10] Such commitments include, but are not limited to, the following:

- Cleco Power's corporate offices would remain in Pineville, Louisiana.[11]
- Cleco Power's senior executive management and at least four board members (with one of the four being the Chairman and one being the Chief Executive Officer) will have their principal places of residence in Louisiana.[12]
- Cleco Power would make charitable contributions within Louisiana consistent with Cleco Power's current practices.[13]
- Cleco Power would maintain a level of economic development funding consistent with current practices for Louisiana state and local organizations.[14]
- Cleco Power and Cleco Support Group would maintain employee headcount, salaries, and benefits substantially consistent with or higher than current levels.[15]
- There would be no adverse material change in Cleco Power's pension plans or pension

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[10] Regulatory Commitments 6-17.
[11] Regulatory Commitment 10.
[12] Regulatory Commitments 16 and 17.
[13] Regulatory Commitment 12.
[14] Regulatory Commitment 13.
[15] Regulatory Commitments 7 and 8.

design or in current benefits for retiree medical plan participants.[16]

Accordingly, the proposed Transaction and commitments provide benefits in the public interest and would be beneficial to state and local economies and to the communities in which Cleco Power serves.

11. Whether the transfer will preserve the jurisdiction of the Commission and the ability of the Commission to effectively regulate and audit public utility's or common carrier's operations in the State. (Factor No. 11)

As described in detail in the Direct Testimony of Mr. Kleehammer, the Transaction would simply be a like-kind change in upstream ownership of Cleco Power and would have no effect on the LPSC's jurisdiction over Cleco Power or its rates, terms, and conditions for retail service. Cleco Power would remain an operating electric public utility subject to the jurisdiction of the LPSC pursuant to the Louisiana Constitution. Cleco Power would continue to serve its LPSC-jurisdictional customers in the same manner and pursuant to the same LPSC-authorized tariffs, retail rates, terms, and conditions of service in place prior to the effectuation of the Transaction. Any attempt by Cleco Power to change its retail rates, terms, or conditions of service would be subject to review by the LPSC, as such changes are now. Cleco Power and Pine JV Holdings acknowledge the LPSC's ongoing and undiminished jurisdiction over Cleco Power.

Further, Pine JV Holdings and its Sponsors, although not jurisdictional to the LPSC, have agreed to be subject to specific performance or injunctive relief as to enforcement by the Commission of the proposed Regulatory Commitments and have waived the application of multiple legal showings that would otherwise be required for injunctive relief under Louisiana law. These concessions are material and do not apply to any other upstream utility owners in Louisiana.

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[16] Regulatory Commitment 11.

The Transaction, therefore, would broaden and strengthen the Commission's general jurisdiction and serve the public interest.

12. Whether conditions are necessary to prevent adverse consequences which may result from the transfer. (Factor No. 12)

As discussed, Cleco Power and Pine JV Holdings have proposed 73 Regulatory Commitments to ensure that the Transaction is consistent with the public interest, as required by the LPSC's 1994 General Order. Such Regulatory Commitments are designed and proven by Docket No. U-33434 to make certain the Transaction is in the public interest. Applicants expect the LPSC to include the proposed Regulatory Commitments as conditions in any final order of the LPSC authorizing the Transaction. Applicants further submit that such commitments are comprehensive and adequately protect Cleco Power's customers and other constituents against any potential adverse consequences resulting from the Transaction. Accordingly, additional conditions to the Transaction are unnecessary.

13. The history of compliance or noncompliance of the proposed acquiring entity or principals or affiliates have had with regulatory authorities in this State or other jurisdictions. (Factor No. 13)

As discussed herein and the direct testimonies of Pine JV Holdings's witnesses, Mr. Kupchak and Mr. Baudier, the Sponsors of Pine JV Holdings own and manage other large infrastructure projects, including regulated utilities, throughout the country and have a strong history of compliance with pertinent regulatory authorities. This track record with other utilities demonstrates that Pine JV Holdings would comply with all rules and regulations in Louisiana. Importantly, BCP owns NWI and Delta Utilities – both regulated by the LPSC – and has consistently complied with all relevant LPSC rules and orders. Accordingly, the track record of compliance by Pine JV Holdings's Sponsors indicates that Pine JV Holdings and Cleco Power can be expected to comply with all present and future LPSC orders.

14. Whether the acquiring entity, persons, or corporations have the financial ability to operate the public utility or common carrier system and maintain or upgrade the quality of the physical system. (Factor No. 14)

As discussed throughout this Joint Application and its supporting testimony, Pine JV Holdings is comprised of financially sound, prudent, long-term infrastructure owners with the resources and experience to ensure that Cleco Power would continue to operate safely, efficiently, and reliably for the benefit of Cleco Power's customers. The Sponsors of Pine JV Holdings have demonstrated (through the successful management of Allied Power, Delta Utilities, NWI, Woodside Louisiana LNG, Pelican Pipeline, and Venture Global Calcasieu Pass LNG, among others) that they are able to prudently manage Cleco Power, meet the liquidity needs of Cleco Power, and facilitate physical system upgrades as necessary and authorized by the LPSC. The financial soundness of Pine JV Holdings's Sponsors, including their successful ownership and operation of other utilities, is discussed in detail in the direct testimonies of Mr. Kupchak and Mr. Baudier. Moreover, Cleco Power and Pine JV Holdings have proposed numerous Regulatory Commitments that would ensure that Cleco Power remains financially sound and able to provide safe, efficient, and reliable electric service to its LPSC jurisdictional customers.

15. Whether any repairs and/or improvements are required and the ability of the acquiring entity to make those repairs and/or improvements. (Factor No. 15)

The Transaction would have no effect on the timing or completion of any currently anticipated repairs or improvements at Cleco Power. Consequently, the Transaction would have no effect on the timing or completion of any repairs or improvements.

That said, and as discussed earlier, Cleco Power is entering a challenging era of unprecedented capital investment to support replacement of aging assets, load growth, and reliability standards. Also, as previously explained, Pine JV Holdings is uniquely positioned to

provide the ready access to capital that Cleco Power will assuredly need in the years to come.

Stonepeak and BCP's extensive experience investing in and successfully delivering large and complex infrastructure projects provides a testament to their ability to raise capital for and execute on necessary repairs or improvements to Cleco Power's system as needs arise.

16. The ability of the acquiring entity to obtain all necessary health, safety and other permits. (Factor No. 16)

As noted in the supporting testimony of Mr. Baudier, all required legal, regulatory, environmental, and governmental permits necessary for the operation of Cleco Group and its subsidiaries, including, primarily, Cleco Power, are in full force and effect in accordance with applicable laws, with all necessary applications and notices having been timely filed with the appropriate governmental authority. To Pine JV Holdings's knowledge, there are no pending or threatened proceedings or orders which would reasonably be expected to affect any such permits.

After the consummation of the Transaction, Cleco Power would continue to exist and operate as it does now; therefore, any necessary health, safety, or other permits currently held by Cleco Power would remain in place and would not be adversely affected by the Transaction. As discussed throughout this Joint Application and in supporting testimony, Pine JV Holdings's Sponsors have substantial experience investing in, owning and operating utility assets and infrastructure, including the receipt of all necessary permits or authorizations related thereto. Accordingly, Pine JV Holdings has demonstrated that it is well equipped to obtain all necessary health, safety, and other permits required to operate Cleco Power in a safe and reliable fashion.

17. The manner of financing the transfer and any impact that may have on encumbering the assets of the entity and the potential impact on rates. (Factor No. 17)

Pine JV Holdings intends to fund the Transaction through a combination of new equity contributions from its Sponsors, namely funds and vehicles managed by Stonepeak and BCP and

their subsidiaries and affiliates, and an assumption of the existing indebtedness of Cleco Power and Cleco Corporate Holdings. As part of the Transaction, the Sponsors have entered into Equity Commitment Letters. The Equity Commitment Letters serve as support for the equity financing; with Sponsor investments coming from investment funds and managed vehicles that they control. Additionally, while Pine JV Holdings intends for the existing indebtedness to remain in place at the close of the Transaction, Sponsors have also obtained backstop debt commitments to replace any Cleco Corporate Holdings debt that would require refinancing due to change-of-control provisions in the financial instruments. The financial aspects of the Transaction are contained in the Purchase Agreement and corresponding documents and discussed more thoroughly in the direct testimony of Mr. Kupchak.

Ultimately, because of the nature of the Transaction's financing structure and the proposed Regulatory Commitments regarding ring-fencing, rate stability, and financial separation requirements, the financing of the Transaction would not result in an encumbrance of Cleco Power's assets or otherwise affect Cleco Power's LPSC-jurisdictional rates.

18. Whether there are any conditions which should be attached to the proposed acquisition. (Factor No. 18)

As discussed with respect to factor number 12, above, Cleco Power and Pine JV Holdings have proposed 73 Regulatory Commitments in connection with this Joint Application that are designed and proven to ensure that the Transaction is consistent with the public interest, as required by the LPSC's 1994 General Order. The proposed Regulatory Commitments are explained in this Joint Application and are described in further detail in the supporting testimony of Messrs. Baudier and Kleehammer. Cleco Power and Pine JV Holdings expect that the LPSC would include the proposed Regulatory Commitments as conditions to any final order authorizing the Transaction. Cleco Power and Pine JV Holdings submit that the Regulatory Commitments, as proposed, are

comprehensive and adequately protect the public interest. Accordingly, the Applicants respectfully submit that their proposed Regulatory Commitments would fully satisfy factor number 17.

VIII. REQUESTS FOR ACTION

Wherefore, for the foregoing reasons, and as more fully described in the testimonial exhibits to this Joint Application, Cleco Power and Pine JV Holdings request that the LPSC act expeditiously to issue an order authorizing the Transaction. More specifically, and with respect to the requested authorization, Applicants request that the LPSC issue an order authorizing the Transaction and making the following regulatory determinations and taking the following actions:

1. That the Transaction satisfies the standard of review specified in the LPSC's 1994 General Order and, therefore, is in the public interest;
2. That the LPSC authorize the Transaction, as requested in this Joint Application, and declare that the Commission's Order authorizing the Transaction is effective immediately upon issuance;
3. That the LPSC grant all other authorizations necessary for Cleco Power and Pine JV Holdings to effectuate and implement the Transaction;
4. That the LPSC act expeditiously on this Joint Application and, if consistent with developing a complete record and a thorough review of this Joint Application and the record, issue its authorizing order granting this Joint Application by December 31, 2026; and
5. Provide any and all relief available in the facts and the law.

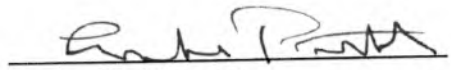
Respectfully submitted,

Cleco Power LLC



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